Pool IV: Big 4 Background

Instrument	First-stage F	Any failure	Restatement	Violation
All matches: Successor year				
Pool rate	F=9.60	0.248*	0.009	0.185
		(0.140)	(0.059)	(0.128)
Mean caseload	F=4.57	0.489	0.314	0.341
		(0.375)	(0.310)	(0.314)
Caseload at most 1 share	F=1.45	1.412	1.039	0.969
		(1.781)	(1.186)	(1.309)
All matches: Successor tenure				
Pool rate	F=9.60	0.280*	0.013	0.219
		(0.165)	(0.061)	(0.144)
Mean caseload	F=4.57	0.532	0.260	0.262
		(0.455)	(0.406)	(0.384)
Caseload at most 1 share	F=1.45	2.337	1.188	1.770
		(2.684)	(1.628)	(1.966)
Predecessor A1 exactly five years: Successor year				
Pool rate	F=0.00	145.042	54.671	66.629
		(7,681.356)	(2,898.112)	(3,539.642)
Mean caseload	F=1.50	0.258	0.431	-0.238
		(1.048)	(0.918)	(0.992)
Caseload at most 1 share	F=1.88	-1.483	-1.092	-1.472*
		(1.055)	(0.813)	(0.829)
Predecessor A1 exactly five years: Successor tenure				
Pool rate	F=0.00	180.808	63.401	112.188
		(9,575.348)	(3,356.327)	(5,963.749)
Mean caseload	F=1.50	0.543	0.696	-0.406
		(1.028)	(0.847)	(1.092)
Caseload at most 1 share	F=1.88	-1.299	-1.084	-1.425
		(0.982)	(0.733)	(0.871)

Notes: Destination audit-firm and assignment-year fixed effects; financial controls included. Standard errors clustered by destination audit firm. All matches retain observed years; five-year predecessor sample starts in 2004. Each outcome cell reports the 2SLS coefficient and its clustered standard error.